CHIEF INVESTMENT OFFICE

Capital Market Outlook

July 13, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Divergences, Shocks, and Inflation Dynamics:* "Cyclical" inflation—related to categories that rise and fall with the business cycle and labor market conditions—has eased substantially toward near prepandemic levels on a year-over-year (YoY) basis and remains in a downtrend. The renewed inflation flare-up appears mainly related to supply-side shocks, such as increased tariffs and Strait of Hormuz disruptions—layered on top of other "acyclical," industry-specific inflation pressures (insurance, healthcare, electricity prices and other Artificial Intelligence (AI)-related cost-push inflation). Encouragingly, tariff effects are estimated to have peaked, oil prices have moderated, money-supply growth is about average, and inflation expectations appear reasonably well anchored. In our view, the Federal Reserve (Fed) is therefore more likely to remain on hold than tighten again absent an unexpected strengthening of labor demand and unit labor costs.

Market View—*Market Snippets: U.S. Real GDP Growth and Exceptional Foreign Demand for U.S. Assets:* We believe the U.S. economy is a great deal stronger than headline figures suggest and continue to be amazed at the level of foreign demand for U.S. securities. First, don't buy the narrative that the U.S. economy is on a slippery slope to slower growth. Headline gross domestic product (GDP) figures look softer, but the drag is coming from trade, not underlying consumption or investment. Imports of high-technology products tethered to the AI buildout have skyrocketed, widening the trade deficit, while underlying growth remains supported by strong capital expenditures (capex) and consumer spending. At the same time, the U.S. remains the world's premier destination for foreign direct investment (FDI) thanks to a massive and wealthy consumer base, deep capital markets, technology and innovation excellence, and strong institutional variables. Meanwhile, foreign money managers are just as bullish: Foreign ownership of U.S. securities hit a record $35.1 trillion in Q1 2026. The bottom line: global firms and excess global liquidity still prefer to be inside the U.S., underwriting America's growth, competitiveness and capital markets.

Thought of the Week—*A High Hurdle for Q2 Earnings:* Expectations heading into Q2 earnings season are high, with analysts now anticipating earnings growth of over 20% for the S&P 500, a forecast that has steadily moved higher through wartime and follows the most profitable quarter in index history. If realized, it would represent the second consecutive quarter of earnings growth exceeding 20%. Beneath the surface however, the market's foundation has broadened. A narrow advance has evolved into a broader rally, with strength spreading across sectors, stocks and market capitalizations. That combination of robust earnings growth and expanding participation provides a constructive backdrop even as companies face one of the highest earnings hurdles seen in years.

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Portfolio Considerations

The "Era of Transformation" is being driven by innovation, capital investment, infrastructure needs, and evolving themes that extend from short-term resilience and earnings growth to longer-term Rebalancing, Re-globalization, Reconstruction, and Rearmament.

Persistent shortages across AI-related resources, infrastructure, minerals, and defense equipment are expected to support productivity, profit margins, asset-price growth, and attractive potential opportunities across global equity markets, despite periodic "Bullwhip" market volatility.

We remain overweight U.S. and Emerging Market Equities—favoring Industrials, Financials, and Consumer Discretionary—while maintaining balanced exposure between Growth and Value, and views higher Fixed Income yields as attractive for income, diversification, and risk compensation.

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MACRO STRATEGY

Divergences, Shocks, and Inflation Dynamics

Chief Investment Office, *Macro Strategy Team*

With inflation reaccelerating over the past year and new Fed Chair Warsh striking a hawkish tone at his first post-policy-setting press conference, expectations for renewed aggressive rate hikes have sharply increased. Inflation no doubt deserves attention—headline personal consumption expenditures (PCE) inflation rose 4.1% YoY in May, while "core" PCE (ex food and energy) increased 3.4%, both uncomfortably above the Fed's 2% target.

Yet, in our view, the case for substantially tighter monetary policy at this point appears less supported by underlying growth and inflation dynamics than perceived. Here is some color behind our view that, absent a surprise hiring spree and increase in unit labor costs, there is scope for patience before imposing additional restraint on already moderate and uneven growth:

- **Tariffs and energy prices account for a substantial part of the recent inflation flare-up**. According to Dallas Fed May research, tariffs alone contributed roughly 0.8 percentage points to March "core" PCE inflation (i.e., it would have been 2.3% YoY instead of 3.1%). The direct impact from tariffs is also estimated to have peaked in Q1. U.S./Iran war uncertainty remains high, but supply-chain pressures quickly started to ease following the tentative reopening of the Strait of Hormuz (lower oil prices, easing freight rates, and moderating fertilizer prices). This suggests major supply-driven inflation pressures are set to fade absent geopolitical conflict escalation.
- **Methodological changes expected by late September seen lowering reported "core" PCE inflation**. With U.S. Bureau of Economic Analysis efforts to address price measurement issues around portfolio management fees, computer software and accessories, and legal services, "core" PCE inflation is expected to be revised slightly lower. According to Evercore ISI research, net changes imply a 3.2% revised May "core" PCE inflation versus 3.4% currently reported.
- **Labor market conditions remain uneven**. Wealth effects, government spending and the AI investment boom have continued to support aggregate demand, helping boost employment this year after the 2025 second-half hiring slump.

  Still, monthly employment growth has sequentially lost steam since March and labor income growth is below average (Exhibit 1). Moreover, private sector jobs outside healthcare and education have barely recovered their steep second half of 2025 declines and remain lower than two years ago. This helps explain why consumer perceptions of job-finding prospects have continued to deteriorate despite resilient economic growth. Job openings, quit rates, wage growth and hiring intentions in the National Federation of Independent Business small business survey remain consistent with moderate labor demand.
- **Growth resilient but not overheating**. Supported by the AI buildout, strong corporate profits, large fiscal deficits and positive wealth effects, real GDP growth is running at around a 2% pace in the first half despite strong headwinds. This is in line with 2025 and the 20-year average. However, real consumer spending has increased only 1.4% annualized from January to May (well below its 2.6% growth in 2025 and 2.2% 20-year average). Incoming data have generally continued to surprise to the upside but remain consistent with moderate growth and subdued hiring (including the Institute for Supply Management manufacturing and services surveys for June). Also, while fiscal deficits remain large, fiscal policy is expected to become less of a tailwind to growth in coming quarters. It would be hard for private sector growth to offset the fading fiscal impulse with much higher Fed policy rates.
- **Credit and money-supply growth is tame, and inflation expectations are still anchored**.
- **Wealth effects have supported high levels of activity but are unlikely to drive meaningful growth reacceleration absent stronger employment and real labor income growth**. Retired or near-retirement households own a disproportionate share of financial wealth. Yet, as they age, spending typically tilts toward essential goods and services, and long-term care prospects encourage precautionary saving. Also, wealth polarization lowers aggregate wealth effects. Given large wealth gains, combined real spending on air travel, jewelry, recreation goods/services, and leisure and accommodation—as an illustrative proxy for discretionary spending—has remained above trend. However, it has declined year-to-date (YTD) and is lower than year ago levels, consistent with depressed consumer sentiment and Consumer Discretionary sector underperformance YTD.

Investment Implications

Absent a surprise reacceleration of employment and spending, we continue to believe that the growth and inflation outlook favors an extended period of stable policy rates, a positive for continued expansion and risk assets.

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- **Subdued hiring and consumer spending help explain the normalization of cyclical inflation.** Slowing employment and wage growth along with higher prices have crowded out discretionary spending, cooling "cyclical" inflation. According to the San Francisco Fed, "cyclical" inflation—by definition closely tied to employment and wage growth—has returned to prepandemic levels. The recent inflation flareup has been concentrated in "acyclical" inflation (Exhibit 2), which is less sensitive to employment and more affected by supply shocks (energy, import prices) as well as by administered and industry-specific prices (i.e., tariffs, insurance, healthcare, AI-related electricity and electronics).

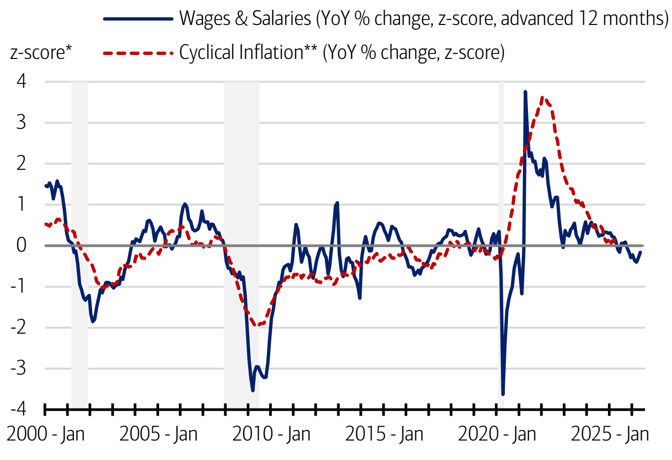
  Some of these effects are beginning to fade (tariffs), and some are seen dissipating over the next year (electronics). Also, as shown in Exhibit 1, softening labor income growth suggests further "cyclical" disinflation. Thus, absent a surprise reacceleration in employment and unit labor costs, inflation is likely to moderate again in coming quarters even without aggressive Fed tightening.

In sum, wealth effects and large government deficits have offered substantial support to the economy in the face of strong headwinds. However, by mitigating the consumer sector's self-adjustment to higher prices through much weaker real growth, they have also accommodated "acyclical" effects on inflation. This has prolonged the post-pandemic disinflation process, maintaining a disproportionate adjustment burden on cyclical activity. As a result, employment, consumer spending and economic growth have remained resilient but moderate, labor income slowed while profits surged, and "cyclical" inflation continued to trend lower while "acyclical" inflation reaccelerated.

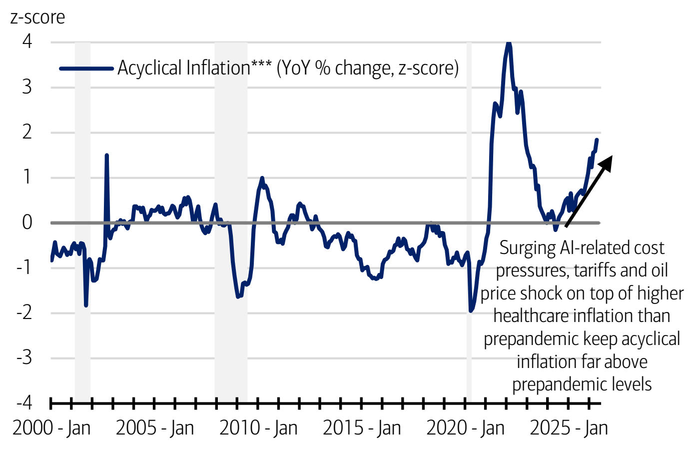
There is little evidence of overheating growth, and some supply-driven inflation effects are already peaking or are poised to fade. In our view, with moderate economic data and a fading fiscal tailwind next year, aggressive tightening risks imposing an excessive adjustment burden on already restrained interest rate sensitive sectors—such as housing, discretionary spending, and labor demand—delivering additional disinflation at potentially significant economic cost. A slightly longer period of soft-to-moderate growth with somewhat persistent but receding inflation, as we expect, would be supportive for risk assets, which benefit from lower macro volatility, moderate interest rates, and sustained expansion and profits growth.

Exhibit 1: Inflation Divergence Likely to Resolve to the Downside.

A) Cyclical inflation back to normal and under further downside pressure.



B) Timing strongly supports a supply-side-shock inflation explanation.



*z-score= number of standard deviations from the mean of a data set. Exhibit 1A) **Inflation driven by business-cycle conditions. Sources: San Francisco Fed/Haver Analytics. Data as of July 8, 2026. Exhibit 1B) ***Inflation driven by industry-specific factors, administered prices, and supply shocks. Sources: Bureau of Economic Analysis; San Francisco Fed/Haver Analytics. Data as of July 8, 2026.

Market Snippets: U.S. Real GDP Growth and Exceptional Foreign Demand for U.S. Assets

***Joseph Quinlan**, Managing Director and Head of CIO Market Strategy*
***Ariana Chiu**, Assistant Vice President and Investment Strategist*

We believe the U.S. economy is a great deal stronger than headline figures suggest and continue to be amazed at the level of foreign demand for U.S. securities. Both dynamics—solid real growth and sturdy foreign capital inflows—are bullish for the U.S. economy and capital markets. We briefly discuss each variable below.

The U.S. Economy: Stronger than you think. Don't buy the narrative that the U.S. economy is on a slippery slope to slower growth. Yes, the Atlanta Fed's GDPNow forecast estimates the U.S. economy grew by just 1.3% in Q2 on an annualized basis, following 2.1% growth in Q1. But there's one important caveat to note: The drag to growth is coming from trade, or America's widening trade deficit, which could shave roughly 1.3% off of growth for Q2.

That's because imports of high-technology products tethered to the AI buildout have skyrocketed in recent months—enough to offset the surge in U.S. oil exports fueled by the war in the Middle East. As an example, imports of computer accessories and telecommunications equipment increased by 88% and 48% YoY in May, respectively. Semiconductor imports nearly doubled YoY to $12 billion in May,[1] surpassing U.S. imports of apparel and footwear for the first time. Indeed, if not for soaring exports of crude oil and petroleum products, which hit a record $28 billion in May, the U.S. trade deficit would have widened even further, and real growth would have been even weaker.

The good news? Remove volatile trade and inventory data, and growth in real final sales to private domestic purchasers is tracking closer to 3% for the quarter, up from 1.7% in Q1 (Exhibit 2). Domestic demand remains solid thanks to strong capex spending and consumer spending. The former has been bolstered by expanding investment in data centers, and the associated demand for spending on semiconductors, power generation equipment, optical networking, cooling infrastructure, grid components, and related goods. Consumer spending, meanwhile, continues to be supported by higher income households, in addition to a relatively low unemployment rate (4.2%), solid wage gains, and, more recently, lower energy prices.

The bottom line: Don't be spooked by headlines speaking to a U.S. economy that is losing steam—it's trade, not underlying consumption or investment, that has weighed on U.S. growth estimates.

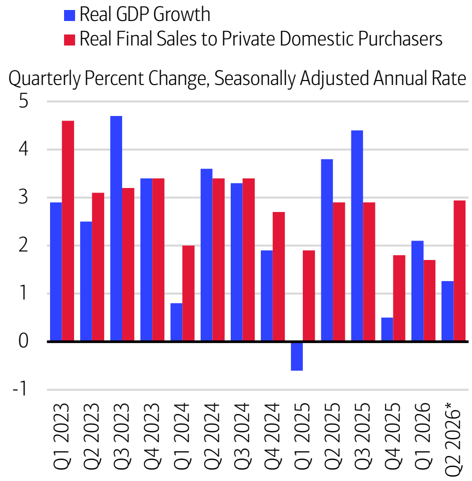
America: Still No. 1 In Terms of Inflows. Rising trade tensions, geopolitical fragmentation, and economic volatility have all weighed on global FDI this decade, although when it comes to attracting capital from the world's largest companies, one destination stands out: the U.S.

Based on the latest figures from the United Nations, the U.S.—by a wide margin—yet again was the largest recipient of global FDI last year, attracting some $277 billion in 2025. As Exhibit 3 underscores, the amount of foreign capital invested in the U.S. in 2025 was well ahead of second-place Singapore ($151 billion), third-place Hong Kong ($116 billion) and lagging China ($105 billion). Investment in data centers and energy infrastructure were the primary targets of foreign investors.

Investment Implications

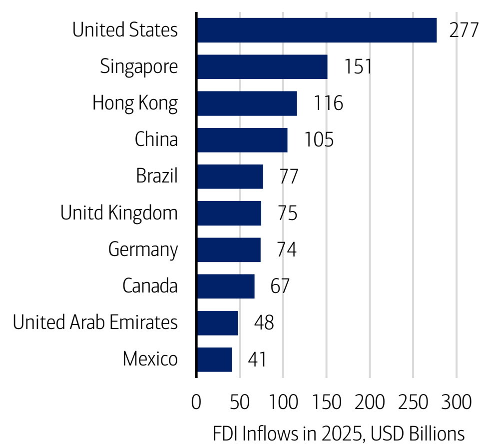
In an era of global fragmentation, America will continue to be the premier destination of excess global liquidity in our view. Solid growth and robust capital and portfolio inflows strengthen the case for maintaining a U.S. bias in portfolios.

Exhibit 2: Underlying U.S. Growth Remains Strong



*Atlanta Fed estimate as of July 8, 2026. Source: Bureau of Economic Analysis, Haver Analytics. Data as of July 8, 2026.

Exhibit 3: Top 10 Recipients of Foreign Direct Investment in 2025



Source: United Nations. Data as of July 7, 2026.

[1] Census Bureau. Data as of July 2026.

The U.S. remains the world's premier destination for FDI for a number of reasons. A massive and wealthy consumer base, a hub for technology and innovation excellence, deep capital markets, a large and highly skilled labor force, and strong institutional variables like a strong rule of law and intellectual property rights—all of these dynamics have long been key factors pulling in capital from overseas. Also drawing more capital: the risk of U.S. trade protectionism, which has incentivized foreign firms to be "inside" the U.S. market as opposed to being "outside."

Robust capital inflows, in turn, have been hugely beneficial to the U.S. economy. The greater the level of FDI, the greater the job creation in the U.S. and higher wages. Think more tax revenues for local communities, more exports, and more research and development spending—all of which strengthens the competitive position of the U.S. economy relative to the rest of the world.

The bottom line: An era of global fragmentation and heightened geopolitical risk has sent multinationals scrambling to rethink how, where and what to produce. Global supply chains are being reconfigured as we write. Everything is in flux, although one constant remains: the preference among global firms to be "inside" the U.S., the largest and most profitable market in the world.

Foreign money managers are just as bullish on the U.S. as foreign multinationals. Foreign capital inflows to the U.S. are double-barreled—think strong flows not only from foreign corporations but also offshore money managers. As Exhibit 4 depicts, foreign ownership of U.S. securities (U.S. Treasurys, agencies, corporate bonds and U.S. Equities) totaled a record high of $35.1 trillion in Q1 2026. Foreign ownership of U.S. securities is roughly 10 times larger today than at the beginning of this century.

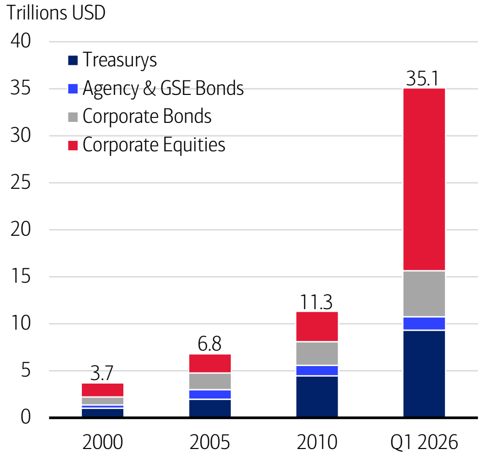
Based on the latest data from the Fed's Flow of Funds series, foreign ownership of U.S. Treasurys reached a record high of $9.3 trillion in Q1, complemented by foreigners owning some $1.4 trillion in government agency bonds, $4.9 trillion in corporate bonds and $19.4 trillion in U.S. Equities. In the context of total holdings, Exhibit 5 highlights that foreigners continue to control a sizable share of the Treasury market (30%), government agencies (11%), corporates (37%), and equities (21%). All of the above is another way of saying that the world still prefers to invest its excess capital in U.S. securities, notwithstanding all the chatter about the U.S. dollar debasement trade and central bank purchases of gold.

Yes, the world's money managers have diversified their dollar holdings this decade. But at the end of the day, America's resilient economy-cum-deep capital markets remains a key draw to money managers sitting in Europe, the Middle East and Asia. As we have often highlighted in the past, no financial system on the planet has the volume of investment-grade assets, nor the absorptive capacity to inhale and exhale the world's excess capital. The first port of call for much of the world's capital remains the U.S.

And that's bullish for the U.S. since portfolio inflows represent an abundant and cheap source of financing for a U.S. government perennially in debt. Other people's money allows the U.S. government, corporations and households to borrow and spend at significantly lower borrowing costs that would otherwise be impossible. Notably, massive global demand for U.S. Treasurys helps suppress government bond yields, lowering the interest burden on federal debt.

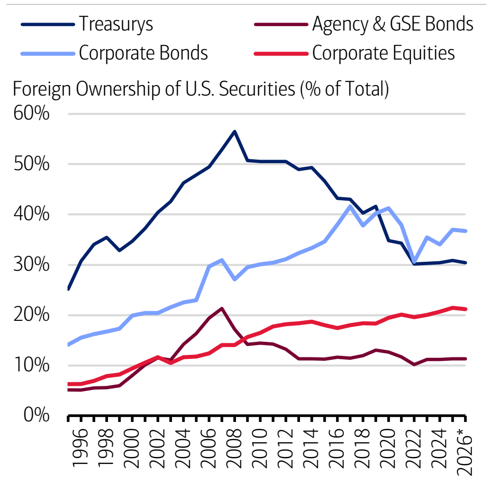
The bottom line: The U.S. economy enjoys a privilege the rest of the world dreams of: excess global liquidity that helps grease real growth, consumption and investment, underwriting America's global competitiveness.

Exhibit 4: Foreign Ownership of U.S. Securities.



*Government-sponsored Enterprise. Source: Federal Reserve Board. Data as of June 11, 2026. It is not possible to invest directly in an index. **Please refer to index definitions at the end of this report.**.

Exhibit 5: Percent of U.S. Securities Held by Foreigners.



*2026 data refers to Q1 2026. Source: Federal Reserve Board. Data as of June 11, 2026. It is not possible to invest directly in an index. **Please refer to index definitions at the end of this report.**.

THOUGHT OF THE WEEK

A High Hurdle for Q2 Earnings

Lauren Sanfilippo, ***Director and Senior Investment Strategist***

Q2 earnings season begins with an unusually high bar for companies to clear. Analysts now expect S&P 500 earnings growth of roughly 23% YoY, up 4% since the end of March.[2] If realized, this would be the second consecutive quarter of 20%+ earnings growth. Those upward revisions follow the most profitable quarter yet for the S&P 500 and leave little room for disappointment.[3]

At the same time, the market has rotated, as capital left the most extended pockets of growth, momentum and direct AI exposure and found a broader set of industries and market capitalizations. As Exhibit 6A shows, the number of S&P 500 members trading above their 50-day moving average continues to climb, a sign that the market advance is being shared across individual stocks. At the sector level, Financials, Healthcare and Consumer Staples have benefited from the rotation out of chip stocks. While the Magnificent 7[4] are flat YTD, the rest of the market, or "the S&P 493," is up 14%. Said another way, while the S&P 500 Index appears to be in a tight range since its all-time high made in early June, the equal-weighted S&P 500 has been making new highs in July. Weakness or consolidation among some of the largest names has given way to strength across a broader set of constituents.

Consider that around 50 S&P 500 stocks are up more than 50% YTD and almost 15 have doubled. At the same time, far fewer stocks have suffered comparable drawdowns. This is a market with meaningful churn, but also one where upside dispersion has been substantial. Speaking of upside, the rotation has also been evident along the capitalization spectrum, with Small-caps on track for one of their biggest periods of outperformance to the S&P 500 in decades.

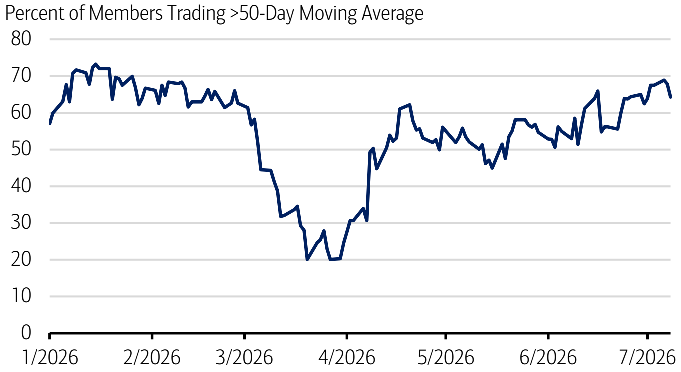
The broader thesis going into earnings season remains constructive as U.S. companies continue to find ways to grow earnings. Most encouraging is that earnings estimates for all sectors are positive for the first time in five years. The last time occurred during the second half of 2021 when the U.S. economy reopened following the pandemic.[5] See Exhibit 6B, which further points to the rarity of the set up. Since 1995 the S&P 500 has generated calendar-year earnings growth of over 20% only six times—1995, 2003, 2004, 2010, 2018, and 2021. If estimates hold, 2026 will make seven.

Investment Implications

The high level of earnings growth and improving breadth reinforces the case for diversification. From a portfolio positioning standpoint, as market leadership expands beyond a handful of stocks the potential opportunity set for investors widens.

Exhibit 6: Better Participation and Great Expectations in the S&P 500.

A) Better Breadth after Dipping at the end of Q1.



B) Instances of 20%+ Earnings Growth.

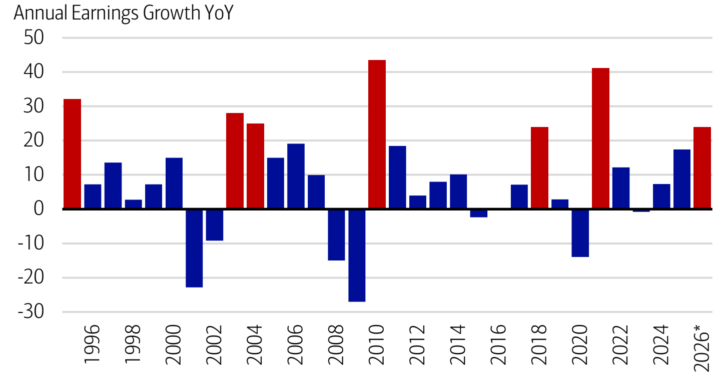


Exhibit 6A) Note: 60-80% of stocks trading above their 50-Day Moving Average is considered "healthy breadth." Source: Bloomberg. Data as of July 8, 2026. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. Exhibit 6B) *Consensus Estimate for 2026. Source: Bloomberg. Data as of July 2026. It is not possible to invest directly in an index. **Please refer to index definitions at the end of this report.** .

2 Source: FactSet as of July 8, 2026. Note: A more usual pattern is for estimates to decline before reporting begins.

3 As measured by net margin and dollars earned. As of Q1 2026.

4 Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla.

5 Source: Yardeni research as of July 8, 2026.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	52,637.01	-0.5	0.6	10.5
NASDAQ	26,281.61	1.7	0.3	13.4
S&P 500	7,575.39	1.3	1.0	11.4
S&P 400 Mid Cap	3,780.11	-0.6	-1.9	15.2
Russell 2000	2,977.81	-0.6	-1.5	20.7
MSCI World	4,867.82	0.8	0.9	10.7
MSCI EAFE	3,125.35	-0.6	0.3	9.8
MSCI Emerging Markets	1,690.70	0.4	-1.7	21.7

Fixed Income†

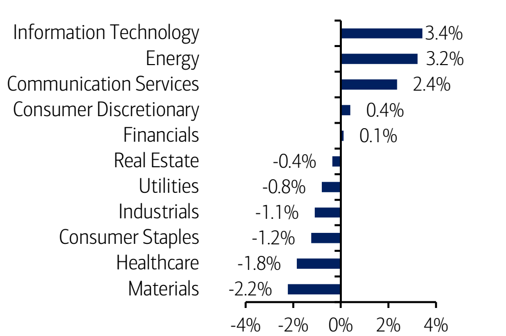
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.76	-0.44	-0.59	-0.10
Agencies	4.51	-0.19	-0.22	0.39
Municipals	3.65	-0.32	-0.40	1.91
U.S. Investment-Grade Credit	4.84	-0.44	-0.58	0.04
International	5.32	-0.60	-0.76	0.08
High Yield	7.16	0.02	0.11	2.07
90 Day Yield	3.78	3.75	3.81	3.63
2 Year Yield	4.21	4.14	4.17	3.47
10 Year Yield	4.56	4.48	4.47	4.17
30 Year Yield	5.06	4.99	4.95	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	325.64	3.1	3.1	17.9
WTI Crude $/Barrel††	71.41	4.0	2.7	24.4
Gold Spot $/Ounce††	4119.93	-0.1	2.8	-4.6

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.14	1.14	1.17
USD/JPY	161.68	161.11	162.55	156.71
USD/CNH	6.78	6.79	6.79	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 07/06/2026 to 07/10/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 07/10/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 7/10/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	2.5*	2.5	2.4	2.3	2.2
CPI inflation (% y/y)	2.7	3.9*	3.4	3.0	3.2	2.1
Core CPI inflation (% y/y)	2.5	2.8*	2.7	2.8	2.7	2.6
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of July 10, 2026.
Sources: BofA Global Research; GWIM ISC as of July 10, 2026.

Asset Class Weightings (as of 7/7/2026)

	CIO View				
Asset Class	Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral		Overweight
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Treasury/Bloomberg U.S. Treasury Index measures U.S. dollar-denominated, fixed-rate, nominal debt issued by the U.S. Treasury. Treasury bills are excluded by the maturity constraint, but are part of a separate Short Treasury Index. STRIPS are excluded from the index because their inclusion would result in double-counting.

Corporate Bond/Bloomberg U.S. Corporate Bond Index is a broad benchmark that measures the performance of the investment-grade, fixed-rate, taxable corporate bond market in the United States.

Agency & GSE Bonds/Bloomberg US Aggregate Bond Index is a broad-based benchmark that includes agency bonds and Government Sponsored Enterprises (GSE) bonds, alongside other investment-grade U.S. dollar-denominated fixed-rate taxable securities.

Corporate Equities/Bloomberg Corporate Equities Index are a broad range of stock market indices, tracking the performance of a selection of stocks, typically focused on a specific sector or geographic region.

S&P 500 Equal Weighted Index is the equal-weight version of the widely-used S&P 500. The index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

July 6, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Kevin Warsh and the End of Global Capital Abundance:* Federal Reserve (Fed) Chairman Kevin Warsh inherits a significantly different world from his predecessors. The days when 1) globalization expanded the global supply of labor, 2) multinationals seamlessly stretched and leveraged supply chains around the world, 3) geopolitical tensions were in remission, resulting in a peace dividend, and 4) global capital flowed freely across borders—those days are gone. What's more, Warsh takes the monetary helm at a time when demand for global capital has rarely been stronger. From governments running massive structural budget deficits to hyperscalers requiring more capital to build out data centers to U.S. households now holding over $1.2 trillion in credit card debt—borrowing at all levels has rarely been stronger. Everyone wants more capital. Against this backdrop, global real interest rates could remain structurally higher, capital discipline will be key among corporates, profligate nations will be disciplined with higher premiums, and nations with the strongest economics will likely outperform their peers—think the U.S.

Market View—*The Road to 2027: Five Questions (and Answers) for the Second Half:* A war in the Middle East, an energy shock via the closure of the Strait of Hormuz, renewed tariff threats, concerns about Private Credit—the first half of 2026 packed a decade's worth of events into six months. The second half is set to be just as eventful with midterm elections, a new Fed chairman, and an Artificial Intelligence (AI) revolution that evolves by the day. This week we examine five key questions that we believe will dominate the investment landscape for the balance of the year: (1) *Is the rotation here to stay?* (Yes, in our view.); (2) *Are we at peak capital expenditures (capex)?* (Unlikely.); (3) *Have we seen the worst of inflation?* (We think yes, though the path of expectations remains key to watch.); (4) *What do shifting global central bank expectations mean for investors?* (It depends.); and finally, (5) *How will midterm elections impact markets?* (A correction preelection wouldn't be out of the ordinary.) Let the 24 fresh all-time highs for the S&P 500 in the first half of this year be a friendly reminder that even in the midst of uncertainty, equity markets tend to look forward to what matters—future profits, which continue to be revised higher.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What is the largest concern that could unravel your bullish narrative?

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Chief Investment Officer

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THE TICKER TAPE ▶

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Portfolio Considerations

Structural themes like reindustrialization, reshoring, robotics and biotech are driving upside to earnings and margins, reinforcing an Equity overweight.

We maintain an overweight to Equities with a preference for U.S. Equities relative to the rest of the world and still favor a significant allocation to bonds in a well-diversified portfolio.

We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

Kevin Warsh and the End of Global Capital Abundance

Joseph P. Quinlan, ***Managing Director and Head of CIO Market Strategy***

Investment Summary

The global financial landscape is in flux, with significant implications for prices across various asset classes.

For much of the past quarter century, the global economy has enjoyed a remarkable luxury: An abundant, cheap, and seemingly limitless pool of capital. In this world, as surplus capital poured out of China, Germany, Japan and oil-producing nations, global interest rates drifted steadily lower, and the world's largest debtor nation—the U.S.—lived beyond its means.

In 2005, former Fed Chair Ben Bernanke characterized this abundance as a "global savings glut"—and used this intellectual rubric to explain why U.S. long-term bond yields could remain low despite strong economic growth, expanding deficits (federal and current account) and a Fed in interest rate-hiking mode (between June 2004 and June 2006, the Fed raised the fed funds rate from 1% to 5.25% with nary any impact on longer-term yields).

Flush with capital, governments accumulated debt without experiencing meaningful increases in borrowing costs. Corporations borrowed at negligible rates. Households gained access to cheap capital. And asset prices rose in an increasingly capital-rich environment.

In addition, just as excess savings helped suppress global interest rates, excess production from Japan, Germany and, notably, China helped suppress goods inflation. China's integration into the global trading system allowed U.S. consumers access to cheaper electronics, clothing, and other products. Businesses benefited from lower production costs and more efficient global supply chains. Wage pressures remained contained, and inflation in the U.S. and other parts of the world repeatedly surprised to the downside. This backdrop could not have been more propitious for central bankers around the world.

From the Savings Glut to the Age of Competing Capital Claims. Fed Chairman Kevin Warsh inherits a significantly different world from his predecessors. The days when 1) globalization expanded the global supply of labor, 2) multinationals seamlessly stretched and leveraged supply chains around the world, 3) geopolitical tensions were in remission, resulting in a peace dividend, and 4) global capital flowed freely across borders—those days are gone.

Growth in the global labor market has peaked, notably in China. Global supply chains are being duplicated rather than optimized. The peace dividend has gone up in smoke with Russia's invasion of Ukraine and the Great Power Rivalry between the U.S. and China. Economic efficiency increasingly takes a backseat to national security interests. The Commanding Heights has shifted from the private sector to the public sector. Deglobalization means more restrictions on cross-border flows of goods, services, people and capital. Adding it all up, Kevin Warsh's world looks a whole lot different from Ben Bernanke's (Exhibit 1).

What's more, Warsh takes the monetary helm at a time when demand for global capital has rarely been stronger. From governments running massive structural budget deficits to hyperscalers requiring more capital to build out data centers to U.S. households now holding over $1.2 trillion in credit card debt—borrowing at all levels has rarely been stronger. Everyone wants more capital.

Governments want more capital to finance deficits and interest costs and support ageing populations. Militaries want more capital to fight wars and rebuild defense capabilities after decades of underinvestment. Technology firms want more capital to build out AI infrastructure. Utilities want more capital to modernize electrical grids. Manufacturers want more capital to reshore supply chains. Private equity wants more capital to take firms public. Households want governments to maintain and expand social safety nets.

Exhibit 1: A World of Difference: Ben vs. Kevin

Bernanke Era (2000-2020)	Warsh Era (2026-2035?)
Excess savings	Excess capital demand
Globalization	Deglobalization
Peace dividend	Defense build-up
Falling inflation	Stickier inflation
Falling real rates	Higher real rates
Supply-chain optimization	Supply-chain redundancy
Capital abundance	Capital competition
"Why are rates so low?"	"Who gets the capital?"

Source: Chief Investment Office. As of July 1, 2026.

Capital, capital, capital—everyone wants capital. The good news is that the world isn't running out of savings. According to the International Monetary Fund (IMF), gross global savings currently hovers around 27% of gross domestic product (GDP), a figure that has held steady over this century. So, the issue is not the supply of capital. Rather, the challenge is how to satisfy (and at what cost) the unprecedented demand for capital. The global pool of savings remains large (roughly $30 trillion based on figures from the IMF), but the claims on those savings are growing even faster.

Against this backdrop, Kevin Warsh confronts a global financial landscape that is being significantly transformed—the world is moving from an era defined by excess savings/capital toward one increasingly characterized by competing demands for capital.

Where the defining economic question of Ben Bernanke's era was, "why is capital so abundant?" the defining question of Kevin Warsh's era may be, "who gets the capital and at what cost?" The answer is crucial in that capital allocation determines economic outcomes and market returns across various asset classes and across various nations.

During the age of abundance, capital was sufficiently plentiful so that many competing priorities could be financed simultaneously. In the world of competing capital claims, however, the calculus is different. The choices will become more difficult. The trade-offs are more visible and volatile. The opportunity costs are more important.

Investment implications. The era of competing capital demands carries significant implications for the financial markets.

First, excess capital demands could keep global real interest rates structurally higher than in the previous two decades. If demand for capital consistently exceeds the growth of available supply, the price of capital should rise.

Second, in a more capital-constrained environment, efficient allocation of resources/capital at the government and corporate levels will carry a higher premium than in the past. Capital utilization will become an increasingly important factor in determining asset allocation. At the corporate level, strong balance sheets and recurring profits will command a premium.

Third, the age of competing capital demands will impose more scrutiny and discipline on sovereigns; fiscal policy becomes more consequential. Profligate governments could be penalized by investors demanding higher compensation/premiums.

Finally, with the age of abundance over and a new era of capital competition dawning, countries with the strongest institutions, the deepest capital markets, the most innovative ecosystem and most productive companies are likely to outperform their peers. All the above sounds a lot like the U.S. Indeed, in a world where capital matters even more, we expect U.S.-denominated assets to remain attractive on an absolute and relative basis over the long run.

In the end, for over two decades, investors benefited from a world awash in savings, inexpensive goods, low inflation and falling interest rates. Capital was abundant, borrowing was easy, and financial assets enjoyed a powerful tailwind. The job of central bankers was made easier. However, times are changing. The forces of the past are fading. The competition for capital is soaring, while supply holds steady. The defining question as the Warsh era begins is who gets the capital—and at what cost? The answer will shape not only the future path of interest rates and inflation, but also the fortunes of nations, companies and investors.

MARKET VIEW

The Road to 2027: Five Questions (and Answers) for the Second Half

Ariana Chiu, ***Assistant Vice President and Investment Strategist***

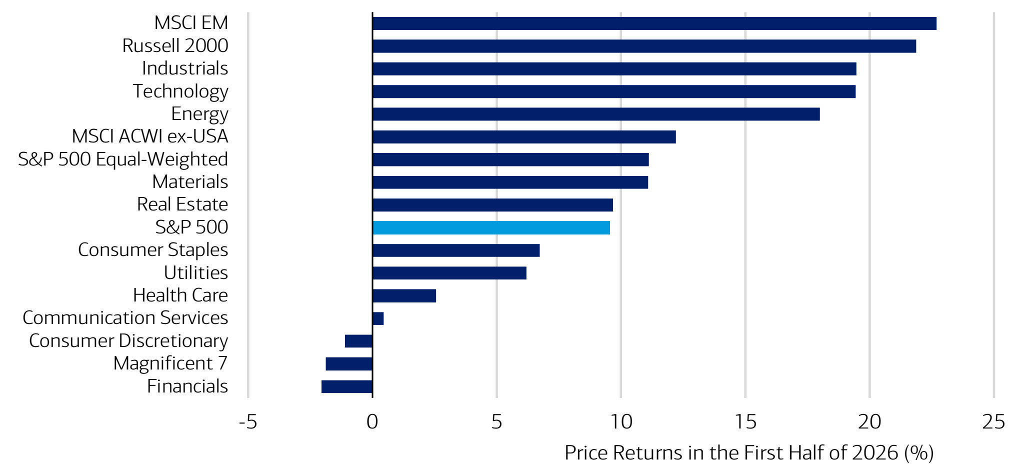
A war in the Middle East, an energy shock via the closure of the Strait of Hormuz, renewed tariff threats, concerns around Private Credit—the first half of 2026 packed a decade's worth of events into six months. The second half is set to be just as eventful with midterm elections, a new Fed chairman, and an AI revolution that evolves by the day. Below we examine five key questions that will dominate the investment landscape for the balance of the year.

***Is the rotation here to stay?* Yes, in our view.** The S&P 500 gained 9.6% in the first half of the year—impressive but lagging its equal-weighted counterpart (11.1%), the Russell 2000 Index (21.9%), and the MSCI All-Country World Index (ACWI) ex-U.S. (12.2%). Yes, select Technology companies continue to dominate index-level moves (up or down) given their large size. And yet the Magnificent 7[1] ended the first six months in the red, underperforming everything from Real Estate to Consumer Staples to Healthcare (Exhibit 2). Indeed, there's been plenty of churn beneath the surface: While the S&P 500 survived the first half with a maximum drawdown of 9.1% on the index level, the average member saw a maximum drawdown of 23.0%.

Investment implications

We remain overweight Equities heading into the second half with a preference for the U.S. and Emerging Markets (EM) as well as an emphasis on diversification in portfolios across size, styles, and sectors. A correction in the coming months wouldn't be concerning in our view as both macro and market fundamentals are strong.

Exhibit 2: Rotation Was Alive and Well in the First Half of 2026.



Source: Bloomberg. Data as of June 30, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

We expect rotation to continue as capital shifts to industries and companies benefiting from AI spending and productivity gains. Volatility within Technology could come from a variety of factors, whether it's earnings disappointing versus high expectations, fresh competition from China's cheaper AI models, or efficiency gains requiring less compute than originally estimated, all against a backdrop of crowded positioning. Hence our call for heightened diversification in portfolios. Meanwhile, the rebound in manufacturing should lend to ongoing support for pro-cyclical areas like Industrials, Materials and Energy. We also expect capital to continue rotating overseas in the aftermath of the war, supporting our overweight to EMs and neutral allocation to Developed Markets ex-U.S.

***Are we at peak capex?* Unlikely. We expect there's still room to run.** With the hyperscalers allocating more than $700 billion in capex this year per company projections, the question for investors continues to be whether spending estimates are headed lower from here. We don't believe that's the case as long as demand for power outstrips supply. For now, the equation still tilts in favor of further spending (and explains the historic 86% run in semiconductors in the first six months of the year). The good news, and a lesson from Q1 earnings, has been that signs of positive returns on AI investment are building.

[1] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla.

What remains important to watch is how the AI data center buildout is being financed. With spending commitments outpacing earnings and free cash flows, hyperscalers have turned to issuing debt, which, according to the Bank of International Settlements could reach $175 billion this year versus $105 billion in 2025. A sudden tightening in credit conditions is a tail risk to watch for the more leveraged parts of the AI buildout.

***Have we seen the worst of inflation?* We think yes, though the path of inflation expectations remains key to watch.** With the labor market proving more stable than expected in the first half, both investors and Warsh's Fed are now focused on inflation. Upward pressure on energy prices given the war, AI goods shortages, lingering tariff impacts, and stronger-than-expected economic data have led markets to price in one rate hike by the end of the year.

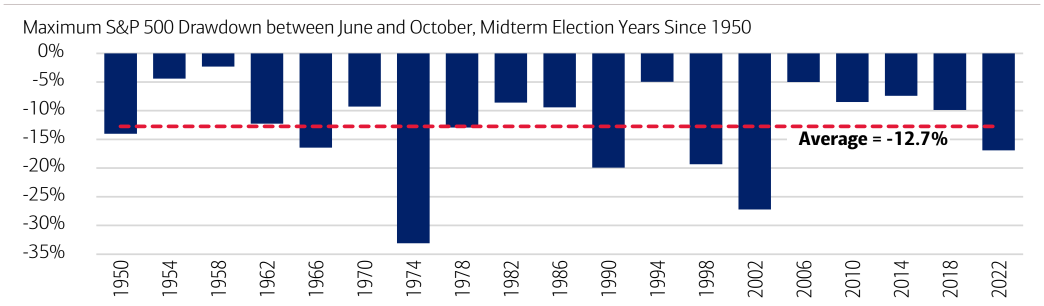
With that said, we think inflation has likely peaked as energy prices have quickly receded to pre-war levels in the past few weeks. Long-term inflation expectations have declined in tandem and are anchored near the Fed's 2% target. Shelter inflation, though still acting with a lag, has been a disinflationary force. Wage growth is healthy but nowhere near where it was back in 2021 to 2022, reducing the odds of a so-called "wage-price spiral" (i.e., when rising wages push companies to raise prices, leading workers to then demand higher wages, and so on). Re-escalating tensions in the Middle East, another prolonged spike in energy prices or signs of the labor market overheating would all be reasons to reassess our outlook but aren't our base case.

***What do shifting global central bank expectations mean for investors?* It depends.** Global monetary policy divergence was predicted to define 2026 with the Fed in cutting mode and the rest of the world excluding Japan on hold. Owing to the war, the calculus has changed, with major central banks in both Emerging Markets (Indonesia, Philippines, South Africa, Colombia, and others) and Developed Markets (Eurozone, Japan, Australia, Norway) implementing rate hikes in recent months.

For investors, global interest rate differentials could favor a weaker dollar should the Fed hold tight while central banks abroad hike rates. Alternatively, a Fed that proves much more hawkish than expected relative to the rest of the world would imply a stronger greenback. In either case, we still expect there to be structural underlying support for the dollar thanks to resilient U.S. growth. At 57% of foreign exchange reserves in Q1 2026 per the IMF, the dollar is still the world's reserve currency. Fade concerns of dollar debasement.

***How will midterm elections impact markets?* A correction preelection wouldn't be out of the ordinary.** In the near term, the lead-up to midterm elections can be more volatile before the typical relief in policy uncertainty post-election. Looking back at midterm election years since 1950, the S&P 500 has seen an average drawdown of 12.7% between the start of June and the end of October (Exhibit 3). A correction in the coming months wouldn't surprise us as the market catches its breadth and searches for new catalysts after a strong rally.

Exhibit 3: Corrections in the Months Leading up to Midterm Elections Are Normal.



Source: Bloomberg. Data as of June 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Looking beyond November 3, while it's tempting to try to time investment decisions around potential election outcomes, history tells us that obsessing over outcomes in Washington doesn't make for a good market timing tool or investment strategy. What drives markets over time isn't the party in power but rather the trajectory of growth, earnings, interest rates, liquidity and other fundamental factors. Let the 24 fresh all-time highs for the S&P 500 in the first half of this year be a friendly reminder that even in the midst of uncertainty, equity markets tend to look forward to what matters—future profits, which continue to be revised higher.

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Top questions answered directly by our CIO. 60 seconds of your questions and our answers.

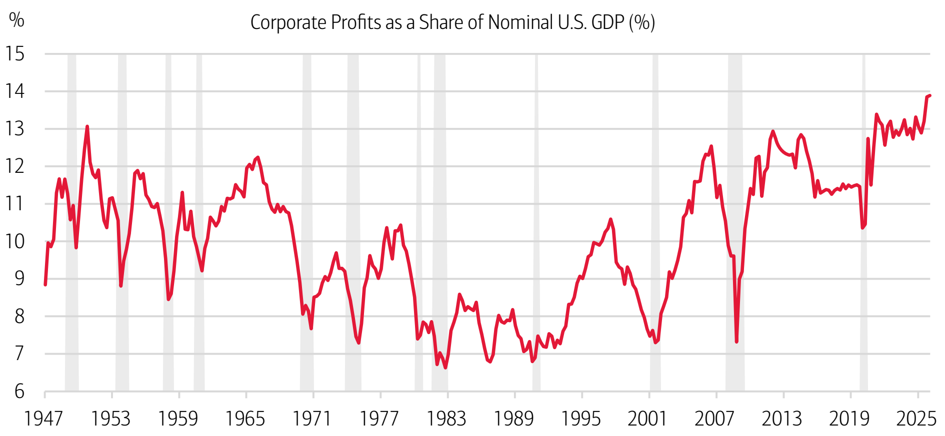
Christopher Hyzy, *Chief Investment Officer*

What is the largest concern that could unravel your bullish narrative? Our largest concern is not the Fed or its change in policy, it's not whether the U.S. dollar is going to lose its reserve currency status, it is not inflation sticking too long, it's not that we will not address government debt eventually, it is not the midterm elections or the military conflict in the Middel East. Bull markets generally do not end based on price and/or valuation. Overvaluation takes care of itself through frequent pullbacks or corrections when new concerns develop but do not materialize to an extent that causes a recession. Therefore, we do not worry about the numerator from a medium-to-long term perspective. We are concerned about the most important part of the investment equation, which is the denominator—corporate profits. Corporate profits could slow down and then go negative if interest rates rise sharply, creating a much higher cost of capital for corporate America and consumers. At the same time, if there were excessive debt (leverage) in the household or corporate sector, this would have a spiraling effect and create a deep recession. This is how a majority of bull markets end and reset materially.

Pockets of enthusiasm and price momentum that go too far in the short term without a deterioration in the profit outlook is not how bull markets end.

And since we do not expect a sharp rise in interest rates, and balance sheets have been healthy at the consumer and corporate level, we are buyers on weakness in the equity markets if headline concerns cause downside pressure. Finally, a modest increase in rates by the Fed—if it happens—is a sign that growth is running above trend and is actually a sign of strength, in our view, not a cause for concern.

Exhibit 4: Earnings, Not Multiple Expansion Has Underpinned the S&P 500 Rally this Year.



Gray bars indicate recessions. Sources: Bureau of Economic Analysis; Haver Analytics. Data as of June 25, 2026.

Portfolio Considerations

Despite expected volatility with sharp corrections and rebounds, we remain constructive on Equities—overweighting U.S. and EMs, balancing Value and Growth, and favoring Industrials, Financials, and Consumer Discretionary sectors—supported by rising capital investment, growing profits, above-trend global growth, and strong demand for financial assets.

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MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	52,900.07	2.0	1.1	11.0
NASDAQ	25,832.67	2.1	-1.5	11.5
S&P 500	7,483.24	1.8	-0.2	10.0
S&P 400 Mid Cap	3,802.81	-0.3	-1.3	15.8
Russell 2000	2,996.11	-0.4	-0.9	21.4
MSCI World	4,832.10	1.9	0.1	9.8
MSCI EAFE	3,144.43	2.0	0.9	10.4
MSCI Emerging Markets	1,684.18	-1.2	-2.2	21.2

Fixed Income†

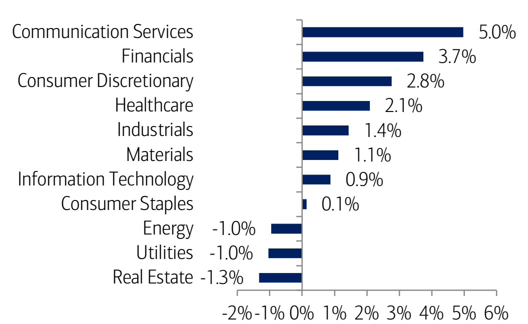
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.67	-0.50	-0.16	0.34
Agencies	4.44	-0.22	-0.03	0.58
Municipals	3.60	0.08	-0.09	2.23
U.S. Investment-Grade Credit	4.75	-0.50	-0.14	0.48
International	5.22	-0.49	-0.16	0.69
High Yield	7.13	0.29	0.09	2.05
90 Day Yield	3.75	3.74	3.81	3.63
2 Year Yield	4.14	4.09	4.17	3.47
10 Year Yield	4.48	4.37	4.47	4.17
30 Year Yield	4.99	4.86	4.95	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	315.71	0.1	-0.1	14.3
WTI Crude $/Barrel††	68.69	-0.8	-1.2	19.6
Gold Spot $/Ounce††	4122.35	0.8	2.9	-4.6

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.14	1.14	1.17
USD/JPY	161.11	161.74	162.55	156.71
USD/CNH	6.79	6.80	6.79	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 06/29/2026 to 07/02/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 07/2/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 7/2/2026)

Economic Forecasts	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	2.5	2.5	2.4	2.2	2.2
CPI inflation (% y/y*)	2.7	4.0	3.7	3.6	3.2	2.1
Core CPI inflation (% y/y*)	2.5	2.8	2.7	2.9	2.7	2.4
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E = Estimate. Data as of July 2, 2026.
* = Data as of June 12, 2026.
Sources: BofA Global Research; GWIM ISC as of July 2, 2026.

Asset Class Weightings (as of 6/2/2026)

	CIO View				
Asset Class	Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index is a variation of the traditional S&P 500 that tracks the same 500 companies, but assigns each stock the exact same weight.

Russell 2000 Index is a benchmark stock market index that tracks the performance of approximately 2,000 small-cap U.S. companies.

MSCI All-Country World ex-U.S. Index captures large and mid cap representation across Developed Markets (DM) countries (excluding the US) and Emerging Markets (EM) countries.

MSCI Emerging Markets Index is an index that tracks the performance of the S&P 500 while assuming all cash dividends are automatically reinvested. While the standard S&P 500 only measures the raw price appreciation of its stocks, the TR version reflects the true compounding growth an investor actually experiences.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®)/S&P 500 Index, including Information Technology USD; Consumer Discretionary; Industrials; Real Estate; Communication Services; Materials; Financials; Consumer Staples; Utilities; Energy; Healthcare.

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Capital Market Outlook

June 29, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Latin America's Market Resurgence:* Investor attention in international markets has been largely focused on the dominance of the Asia-Pacific in 2026. But Latin America has also staged a recent resurgence, breaking above its 2008 financial crisis peak for the first time over the past six months. The Latin American market outpaced the rest of the world in 2025, and, so far this year, the region is ahead of the S&P 500 Index and all but the highest-flying Artificial Intelligence (AI)-linked markets in Asia. Near-term challenges could interrupt the recent advance, but we nonetheless see a range of longer-term support for the region.

Market View—*Second-Half Scenarios: Revisiting the Base, Bull and Bear Cases:* As we enter the second half of 2026, our market outlook has turned modestly more constructive. The base case remains our anchor, underpinned by resilient economic fundamentals, healthy consumer spending, and continued double-digit earnings growth. Meanwhile, the bull case has gained traction, supported by improving earnings revisions and easing geopolitical tensions. At the same time, the bear case looks less severe than it did earlier in the year. While the potential for higher inflation, rising rates or a reversal in oil prices remain key factors to watch, several of the most disruptive market risks seem to have moved off the table for now. Overall, the base and bull cases now account for roughly 80% of our 2026 outlook, reinforcing our view that investors should remain diversified, stay aligned with long-term goals, and use periods of volatility as potential buying opportunities.

Thought of the Week—*From Rate Cuts to Rate Hikes:* Markets have shifted from pricing Federal Reserve (Fed) interest rate cuts to renewed tightening risk amid firmer inflation and more hawkish Fed signaling. While this shift underscores evolving macro conditions, the Fed remains data dependent and market pricing may continue to adjust as new information emerges. For investors, history suggests that while Equities can be volatile after the Fed hikes rates, returns have generally remained positive over the full hiking cycle.

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Portfolio Considerations

Structural themes like reindustrialization, reshoring, robotics and biotech are driving upside to earnings and margins, reinforcing an Equity overweight.

We maintain an overweight to Equities with a preference for U.S. Equities relative to the rest of the world and still favor a significant allocation to bonds in a well-diversified portfolio.

We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

MACRO STRATEGY

Latin America's Market Resurgence

Ehiwario Efeyini, ***Director and Senior Investment Strategist***

Investor attention in international markets has been largely focused on the dominance of the Asia-Pacific in 2026. Equity returns in Asia have led the global market this year, and its regional weighting in the MSCI Emerging Markets (EM) Index has risen to close to 85%— almost five percentage points higher than at the start of the year. But Asian Equities have not been the only strong performers in global markets over recent quarters. While it remains a relatively small share of international market capitalization, Latin America has also staged a recent resurgence, breaking above its 2008 financial crisis peak for the first time over the past six months. The Latin American market (measured by MSCI EM Latin America Index) outpaced the rest of the world in 2025 as International Equities rebounded. And so far this year, the region is ahead of the S&P 500 and all but the highest-flying AI-linked markets in Asia.

Equity returns in Latin America remain highly correlated with global commodity prices, particularly in metals and energy. And the surge in both precious and industrials metals prices over the past year has coincided with a period of outperformance for the region—just as at past peaks in 2008, 2011, 2018 and 2022 (Exhibits 1A and 1B).

Investment Implications

Latin America has widely gone unrecognized as one of the leading global equity markets over recent quarters. And though nearer-term challenges from lower energy prices and potential shifts in external trade conditions and external monetary policy could interrupt the recent advance, we nonetheless see shifts in local policy direction, Brazil's potential as a leading producer of rare earths and exposure to critical inputs into the growth in clean energy and AI investment as longer-term regional supports.

Exhibit 1: Latin American Markets Have Peaked With Commodity Prices Over Recent Cycles.

A) Metals Prices versus Latin America Equities.

B) Energy Prices Versus Latin America Equities.

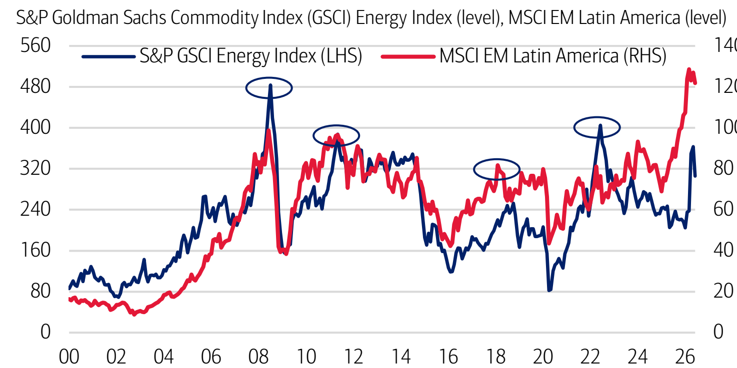

Exhibit 1A) Source: Source: Bloomberg. Data as of May 2026. Exhibit 1B) Source: Bloomberg. Data as of May 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

In the near term, oil and gas prices may continue to weaken on further easing of supply constraints in the Middle East. And the potential for the Fed to join the European Central Bank and the Bank of Japan in raising interest rates could also put cyclical price pressure on the wider commodity complex. But a number of markets across Latin America should nonetheless be exposed to longer-term growth expected in demand for key metals and minerals used in data centers as the AI infrastructure investment boom continues and in clean energy equipment as countries look to strengthen their energy security in the wake of the Iran conflict. Mexico and Brazil for example, the largest markets in the region, are among the leading global producers of silver and graphite, respectively, while Chile dominates global production and reserves in copper and lithium, accounting for 20%-plus of the total output for both critical minerals (Exhibit 2).

Furthermore, Brazil in particular is emerging as a more viable global supplier of the 17 rare earth elements (REEs) used across a range of applications including electric vehicles, wind turbines, robotics, defense hardware, medical equipment and industrial magnets. Though it is currently still dwarfed by China in REE production, Brazil's reserves are second only to China's, accounting for around 20% of the global total. And it is widely viewed as a potential future alternative to China in supplying Western markets such as the U.S. and Europe—both of which are increasing their level of investment into Brazil's REE industry.

Exhibit 2: Latin America Remains A Key Provider Of Critical Minerals Used in AI and Clean Energy Infrastructure.

Latin America country exposures to critical minerals

Metal / Mineral	AI Data Center / Clean Energy Applications	Country production (global share, rank)	Country reserves (global share, rank)
Copper	Wiring for solar, wind turbines, batteries, cooling systems	Chile (23%, 1), Peru (11%, 3), Mexico (3%, 9)	Chile (19%, 1), Peru (10%, 2), Mexico (5%, 6)
Bauxite	Server racks, solar panel frames, wind turbines, cooling systems	Brazil (7%, 4)	Brazil (9%, 5)
Lithium	Battery electrodes for electronics, electric vehicles, grid storage	Chile (20%, 2), Argentina (8%, 5), Brazil (4%, 6)	Chile (31%, 1), Argentina (13%, 3), Brazil (1%, 8)
Nickel	Battery cathodes for electronics, electric vehicles, grid storage	Brazil (2%, 8)	Brazil (12%, 3)
Graphite	Battery anodes for electronics, electric vehicles, grid storage	Brazil (4%, 4)	Brazil (26%, 2), Mexico (1%, 10)
Manganese	Battery cathodes for electronics, electric vehicles, grid storage	Brazil (3%, 7)	Brazil (16%, 4)
Gold	Electrical connectors, solar cells	Mexico (4%, 7), Peru (3%, 12), Brazil (2%, 13), Colombia (2%, 15)	Peru (4%, 8), Brazil, (4%, 9), Mexico (2%, 12), Colombia (1%, 15)
Silver	Solar photovoltaics, electrical connectors, switches	Mexico (25%, 1), Peru (12%, 3), Bolivia (5%, 5), Chile (5%, 7), Argentina (3%, 11)	Peru (22%, 1), Mexico (6%, 6), Chile (4%, 7), Bolivia (3%, 9), Argentina (1%, 11)

Source: US Geological Survey, Our World in Data. Data as of 2024.

Recent shifts in Latin America's policy direction have also been welcomed by investors. Starting with Argentina in 2023, Chile in 2025 and most recently Colombia and Peru earlier this month, incoming governments have pledged or moved to enact fiscal consolidation, encourage free trade and deregulation, increase privatizations of state-owned enterprises and boost economic growth rates—a partial reversal of the so-called Pink Tide that saw less market-friendly administrations assume leadership in a number of regional economies in the late 2010s and early 2020s. Argentina for example has been one of the top-performing markets in the region over recent years, receiving a string of credit rating upgrades from S&P, Moody's and Fitch in 2024, 2025 and 2026. A major exception to this trend, however, has been Latin America's largest economy, Brazil, where electoral victory for the incumbent frontrunner in October's presidential election would likely mean higher public spending, wider fiscal deficits and a tougher stance on foreign investment into local resource sectors.

External trade and monetary policy are also likely to play an important role in the outlook for key markets in Latin America. For Mexico, the region's second-largest economy, a joint review of the U.S.-Mexico-Canada Agreement set to begin later this week on July 1 could have major implications for trade and investment in Mexico's manufacturing sectors. The two main potential policy risks for Mexico are likely to be 1) higher thresholds for rules of origin that favor U.S. employment, and 2) more stringent rules on direct investment from China into the Mexican auto industry to limit its presence in North America for both economic and national security purposes.

Meanwhile a shift toward tighter U.S. monetary policy in the second half of the year could present another hurdle for the region in the nearer term. Current account balances have improved for most countries in Latin America over the past two years. But within the MSCI EM Latin America Index all but Peru remains in deficit, while Brazil and Colombia have both deteriorated to more than 2% of gross domestic product (GDP)—among the highest within EMs. This potentially leaves the region more vulnerable to higher U.S. rates than surplus market in Asia. But the general improvement in balance of payments positions and the likelihood of only modest adjustments to U.S. monetary policy as opposed to a sustained tightening cycle should limit the impact. Furthermore, against a backdrop of rising global rates and multidecade lows in S&P 500 dividend yields, Latin American yields are among the highest globally, standing at close to 6% in Brazil and Colombia.

Latin America has widely gone unrecognized as one of the leading global equity markets over recent quarters. And though nearer-term challenges from lower energy prices, potential shifts in external trade conditions and potential changes to external monetary policy could interrupt the recent advance, we nonetheless see shifts in local policy direction, and Brazil's potential as a leading producer of rare earths and exposure to critical inputs into the growth in clean energy and AI investment as longer-term regional supports.

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MARKET VIEW

Second-Half Scenarios: Revisiting the Base, Bull and Bear Cases

Marci McGregor, *Managing Director and Head of CIO Portfolio Strategy*

The first half of the year is quickly fading into the rearview mirror. As the next six months come into focus, we refresh our base, bull and bear scenarios for the remainder of 2026. The verdict: The base case holds steady, the bull case is picking up momentum, and the bear case looks less likely than it did earlier this year.

Base case: Unchanged at 55%. The base case remains the anchor (Exhibit 3). Despite a steady drumbeat of headline risk, fundamentals remain sound, and the strong growth outlook is intact. The labor market remains far from recessionary territory, with hiring surging in May, and the unemployment rate holding steady at 4.3%. Consumers are still in good shape with Bank of America Institute data showing credit and debit card spending rising 5.1% year-over-year (YoY) in May, the fastest pace in nearly four years. The recent oil and gas spikes seem unlikely to translate into an economywide resurgence in inflation, although sticky price pressures and healthy job growth could still leave room for limited Fed hikes later in the year.

For markets, the picture is similarly constructive. S&P 500 earnings-per-share are expected to grow at a double-digit YoY pace, while corporate margins remain resilient. A multiyear technology-driven capital expenditures (capex) cycle is well underway, and continued AI adoption should provide a meaningful productivity tailwind over time. Against this backdrop, Equity market participation could continue to broaden, with EMs and Small- and Mid-caps improving further. In our view, this remains the most likely path for the remainder of 2026, with a 55% possibility outcome.

Bull case: Increased to 25%. Upside risks to our base case have emerged with the bull scenario gathering momentum. We raise the possibility outcome to 25% from 15%, with stronger earnings growth doing much of the heavy lifting. Estimates for both 2026 and 2027 have moved meaningfully higher in recent weeks, with revisions outpacing historical averages. Easing geopolitical tensions have also meaningfully improved the outlook. Stronger profits, improving productivity and broader participation below the index level could help extend the cycle in the bull case even with valuations elevated.

In this upside scenario, inflation would continue to cool as oil and gas prices ease, allowing the Fed to remain on an extended pause or deliver, at most, one potential hike. A steeper yield curve could emerge alongside stronger growth expectations and a resilient macro backdrop. The AI capex cycle could also keep accelerating, lifting Technology and supporting investment across data centers, power generation, grid modernization, industrial automation, aerospace and defense. Putting it all together, the combined bull case and base case scenario now accounts for 80% of our 2026 market outlook.

Bear case: Decreased to 15%. The bear case is still worth monitoring, but it looks less concerning than it did earlier in the year. We have lowered its possibility outcome to 15% from 25%, as several of the most disruptive risks to this market have eased, at least for now. Diplomatic progress toward ending the U.S/Iran war has reduced the probability of tensions boiling over into a broader conflict. The resulting decline in oil and gas prices has helped relieve one of the most immediate pressure points for inflation and consumer confidence. Other potential shocks have also failed to materialize: The largest initial public offering in history was absorbed with ease, and the Fed's leadership transition has been relatively smooth, even if the new chair's hawkish tone has raised some eyebrows.

For the bear case to reassert itself, we would likely need to see a renewed flare-up in geopolitical tensions, a reversal higher in oil, and inflation moving well above target. A key risk would be a sharp rise in rates driven by a more aggressive policy response, which could pressure Equities lower and put both earnings and valuations at risk. The growth

Portfolio Considerations

While risks remain, we see the potential for upside to our base-case market outlook for the remainder of 2026. From an investment perspective, we would view periods of market weakness as a potential buying opportunity for long-term investors.

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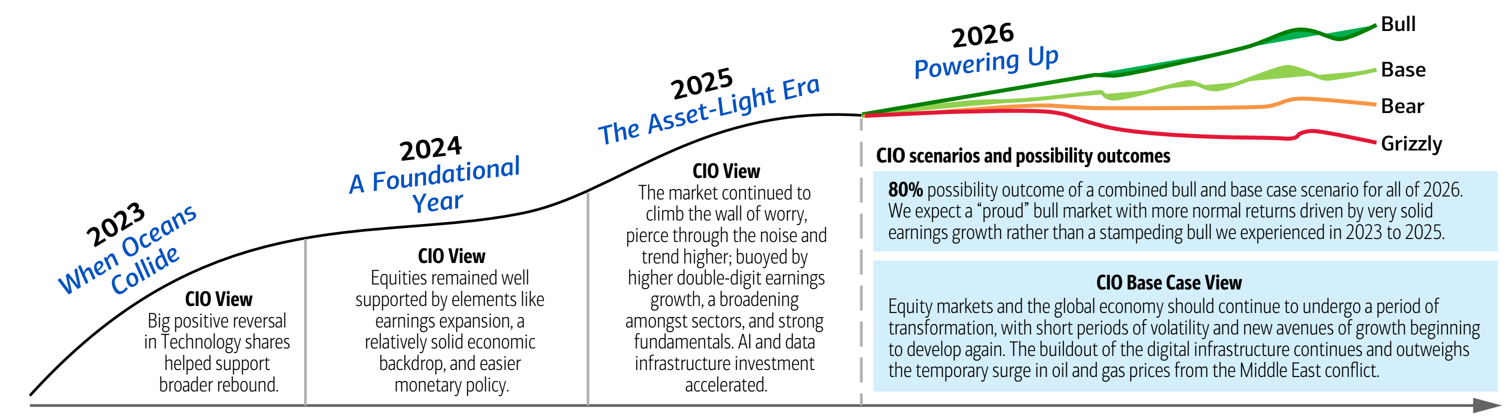
outlook would likely come into question in this scenario, potentially rekindling stagflation concerns. This confluence of factors could bring technology-bubble concerns back into focus and shift market leadership toward defensives.

Grizzly case: Still unlikely at 5%. The grizzly bear scenario remains the deep- tail risk, and would require a convergence of negative earnings and geopolitical and macroeconomic outcomes that could push the S&P 500 into bear-market territory. In our view, it remains the least likely path.

Exhibit 3: A Closer Look at the Bull, Base, Bear and Grizzly Cases.



SCENARIO 1 BULL CASE (approximately 25% possibility outcome)

- Bull case raised to 25% from 15% as earning momentum surprises further.
- Geopolitical tensions ease significantly and peace accelerates.
- A new economic reexpansion builds, and growth is well above trend in 2026.
- Extended pause on rates or one hike at most with profits and economic growth well above trend
- Yield curve steepens as yields on the back-end rise as economic growth increases above trend and short rates slip.
- Long-term bull market continues as earnings rise higher than expected through 2026. Bull market in metals.
- AI capex accelerates lifting the Technology sector again.

SCENARIO 2 BASE CASE (approximately 55% possibility outcome)

- U.S. GDP maintains its momentum as fiscal bill impact is felt and as Middle East tensions ease considerably.
- One-time price increases from oil and gas surge do not materialize into an "economywide" resurgence in inflation.
- Limited hikes later in the year as job growth remains healthy and inflation sticky.
- Earnings growth for S&P 500 is double-digit percentages in 2026.
- The AI wave continues, but "leaders" and "laggards" become clearer.
- Broader participation within the Equity markets including EMs and Small/Mid capitalization shares continues.
- Financials, Utilities, Industrials, Consumer Discretionary, Basic Materials rise. Technology sectors extend their leadership.

SCENARIO 3 BEAR CASE (approximately 15% possibility outcome)

- Bear case drops to 15% from 25% as Iran conflict dissipates and oil prices fall.
- Geopolitical tensions reescalate.
- Stagflation worries build as the growth slump bites and as inflation remains well above target.
- Expectations for monetary policy are recalibrated with the potential for rate hikes rising sharply even in the face of slow growth.
- Earnings begin to decline early as a growth slump ensues and AI capex fizzles.
- Unemployment rate rises above 5% as recession risk increases.
- Defensive areas of the market outperform as technology bubble concerns materialize.
- Recession odds rise alongside midterm concerns.

SCENARIO 4 GRIZZLY CASE (approximately 5% possibility outcome)

- Trade wars develop again and stick.
- Geopolitical tensions boil over into broader conflict.
- Sharp economic hard landing, not just deterioration, unfolds.
- Fed policy requires new emergency measures and aggressive cuts.
- A sharp fall in earnings ensues as spreads widen and as AI capex deteriorates.
- Credit stress unfolds further in the lower quality credits impacting investor sentiment in the high-quality sector.
- Fixed Income significantly outperforms Equities as risk aversion rises sharply.
- U.S. dollar rallies.
- Defensive assets outperform sharply.
- S&P 500 falls into protracted bear market territory.

— Black line represents the lifecycle of the CIO economic process and is not meant to represent any specific investment, index or performance of any kind. Source: CIO. Data as of June 29, 2026. CIO views are subject to change. **For Informational purposes only.** Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance. **Please refer to index definitions and important disclosures at the end of this presentation.**

The bottom line: We believe the second-half setup has improved. The base case still carries the most weight, but the bull case has gained credibility, and the bear case has been somewhat diffused. For investors, that argues for staying invested, staying diversified, and staying focused on long-term investment goals as the year progresses.

THOUGHT OF THE WEEK

From Rate Cuts to Rate Hikes

Kirsten Cabacungan, *Vice President and Investment Strategist*

The market narrative has flipped from how soon the Fed might cut to whether hikes are back on the table. Prior to the U.S./Iran conflict, markets had fully priced in two Fed rate cuts by year-end. Today, markets are pricing at least one Fed rate hike. BofA Global Research now anticipates three 25 basis-point (bps) hikes in September, October and December, versus prior expectations for a prolonged Fed pause and eventual cuts in 2027. What matters now is how this shift in expectations evolves as new data comes in.

This repricing reflects a combination of renewed inflation pressures and more hawkish Fed signaling. Headline personal consumption expenditures (PCE) inflation rose to a three-year high of 4.1% YoY in May, up from 2.9% pre-conflict, while core PCE, which excludes food and energy, climbed to 3.4% from 3% a few months ago—roughly 60 bps above the level a year ago. At the same time, the Fed's June Federal Open Market Committee (FOMC) meeting pointed to a firmer policy path. While rates were held steady, the Fed's median projection for the policy rate at year-end rose to 3.8% from 3.4%, with nine of 18 policymakers expecting at least one hike this year and six expecting more than one.

That said, the shift in expectations is not without nuance. The Fed continues to emphasize a data-dependent approach, particularly under new Fed Chair Kevin Warsh, who has historically expressed caution about forward guidance. The fact that these hawkish projections based on geopolitical disruptions were released essentially at the same time a U.S./Iran ceasefire agreement led to the reopening of the Strait of Hormuz underscores just how quickly conditions can change. More broadly, history suggests the Fed's policy projections have not always aligned with its realized policy path (Exhibit 4A).

For investors, the key question is what a potential return to rate hikes means for Equities. Historical outcomes have varied depending on the broader macro backdrop (Exhibit 4B). Across the last six hiking cycles, equity returns were volatile in the early stages but generally improved over time, with annualized returns positive over the full cycle in every episode.

For now, the latest forecasts suggest any renewed Fed tightening would be modest and relatively short-lived. While inflation risks have reemerged, it remains uncertain whether they will translate into a sustained reacceleration, particularly if geopolitical pressures continue to ease. We view the recent hawkish repricing as a risk to monitor rather than a structural shift to the outlook, with the more significant risk being a materially more aggressive Fed tightening response if inflation remains persistently elevated.

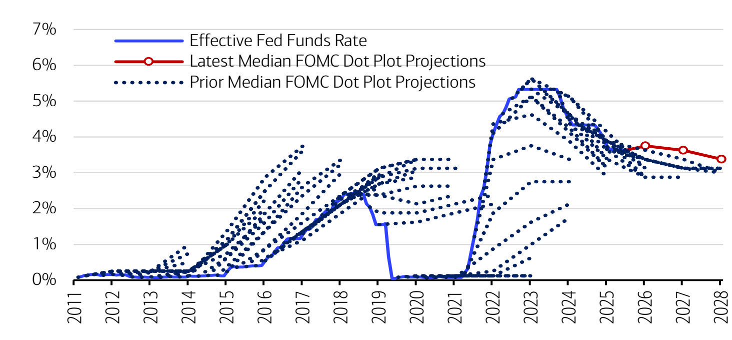
Importantly, the economy has proven resilient in a higher-rate environment in recent years, suggesting it may be able to absorb some modest Fed tightening. We therefore remain constructive on U.S. Equities, supported by strong earnings momentum and long-term thematic tailwinds.

Investment Implications

We remain constructive on the outlook and maintain an overweight to U.S. Equities. The primary risk to our investment thesis is a sharp rise in interest rates driven by a more aggressive shift in Fed policy. We therefore continue to emphasize diversification as macro conditions evolve.

Exhibit 4: Shifting Fed Expectations and Market Implications

A) Fed expectations don't always align with the realized path.



B) Equity performance has varied over hiking cycles.

Fed Funds Rate (FFR) Hike		Cycle Duration	FFR Change	S&P 500 Forward Total Return After First Fed Rate Hike			Annualized Total Return
First	Last	(Months)	(Basis Points)	+3 months	+6 months	+12 months	Over Full Hike Cycle
Mar-88	May-89	13.6	+325	5.2%	6.8%	16.6%	23.8%
Feb-94	Feb-95	11.9	+300	-3.3%	-1.0%	4.8%	3.0%
Jun-99	May-00	10.5	+175	-6.2%	7.4%	7.2%	9.1%
Jun-04	Jun-06	24.0	+425	-1.9%	7.3%	6.3%	7.6%
Dec-15	Dec-18	36.1	+225	-1.6%	1.4%	11.3%	8.7%
Mar-22	Jul-23	16.3	+525	-15.5%	-10.4%	-7.6%	5.2%
Average		18.7	+329	-3.9%	1.9%	6.4%	9.6%
Median		15.0	+313	-2.6%	4.1%	6.8%	8.2%
% Positive				16.7%	66.7%	83.3%	100.0%

*Estimate. Exhibits 4A) Sources: Federal Reserve; Bloomberg. Data as of June 25, 2026. Exhibit 4B) Change in FFR based on the lower bound of the target FFR range. Sources: Federal Reserve; Bloomberg. Data as of June 25, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

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MARKETS IN REVIEW

Equities

Equities	Current	WTD	MTD	YTD
	Total Return in USD (%)			
DJIA	51,876.11	0.6	1.8	8.8
NASDAQ	25,297.62	-4.6	-6.2	9.2
S&P 500	7,354.02	-1.9	-2.9	8.1
S&P 400 Mid Cap	3,816.30	0.7	2.6	16.2
Russell 2000	3,010.08	1.0	3.2	21.9
MSCI World	4,744.35	-1.9	-2.4	7.8
MSCI EAFE	3,085.46	-1.8	-1.0	8.3
MSCI Emerging Markets	1,706.40	-4.6	-2.4	22.6

Fixed Income†

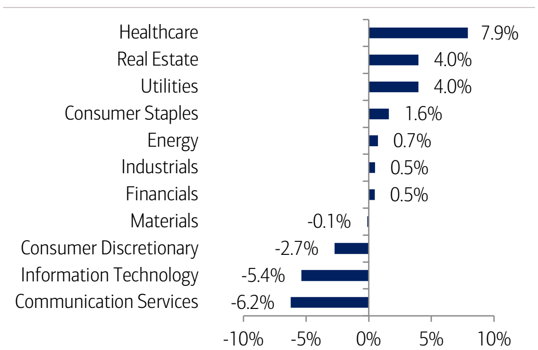
Fixed Income	Current	WTD	MTD	YTD
	Total Return in USD (%)			
Corporate & Government	4.59	0.46	0.60	0.84
Agencies	4.38	0.39	0.33	0.81
Municipals	3.60	0.15	0.80	2.15
U.S. Investment-Grade Credit	4.66	0.49	0.60	0.98
International	5.14	0.41	0.51	1.19
High Yield	7.21	-0.06	0.06	1.75
90 Day Yield	3.74	3.74	3.67	3.63
2 Year Yield	4.09	4.18	4.00	3.47
10 Year Yield	4.37	4.45	4.44	4.17
30 Year Yield	4.86	4.90	4.97	4.84

Commodities & Currencies

Commodities	Current	WTD	MTD	YTD
	Total Return in USD (%)			
Bloomberg Commodity	315.29	-3.0	-8.7	14.1
WTI Crude $/Barrel††	69.23	-9.6	-20.8	20.6
Gold Spot $/Ounce††	4088.74	-2.9	-9.9	-5.3

Currencies	Current	Prior Week End	Prior Month End	2025 Year End
	Total Return in USD (%)			
EUR/USD	1.14	1.15	1.17	1.17
USD/JPY	161.74	161.38	159.27	156.71
USD/CNH	6.80	6.78	6.76	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 06/22/2026 to 06/26/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 06/26/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 6/26/2026)

Economic Forecasts	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	1.6	2.5	2.5	2.4	2.2	2.2
CPI inflation (% y/y)	2.7	4.0	3.7	3.6	3.5	2.2
Core CPI inflation (% y/y*)	2.5	2.8	2.7	2.9	2.7	2.4
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of June 26, 2026.
Sources: BofA Global Research; GWIM ISC as of June 26, 2026

Asset Class Weightings (as of 6/2/2026)

Asset Class	Underweight		CIO View Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral		Overweight
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of June 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Forward Total Return Index is an index that tracks the performance of the S&P 500 while assuming all cash dividends are automatically reinvested. While the standard S&P 500 only measures the raw price appreciation of its stocks, the TR version reflects the true compounding growth an investor actually experiences.

MSCI Emerging Markets Index is an index that tracks the performance of the S&P 500 while assuming all cash dividends are automatically reinvested. While the standard S&P 500 only measures the raw price appreciation of its stocks, the TR version reflects the true compounding growth an investor actually experiences.

London Metal Exchange Metal Index (LMEX) is a basket benchmark that tracks the global performance of six primary industrial metals. The index represents aluminum (42.8%), copper (31.2%), zinc (14.8%), lead (8.2%), nickel (2%), and tin (1%).

MSCI Emerging Markets Latin America Index captures large and mid cap representation across 5 Emerging Markets (EM) countries in Latin America.

S&P Goldman Sachs Commodity Index (GSCI) Energy Index provides investors with a reliable and publicly available benchmark for investment performance in the energy commodity market.

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The credit quality ratings represent those of Moody's Investors Service, Inc. (Moody's), Standard & Poor's Corporation (S&P) and Fitch, Inc. (Fitch). The ratings represent their opinions as to the quality of the securities they rate. Ratings are relative and subjective and are not absolute standards of quality. The security's credit quality does not eliminate risk. For information regarding the methodology used to calculate the ratings, please visit Moody's at www.moodys.com or S&P at www.standardandpoors.com or Fitch at www.fitchratings.com.

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Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

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